15. Income taxes

The Company has no income tax liability for Federal, State, and Local income tax purposes. The Company is subject only to minimum taxes based on capital and the provision for income taxes for the years ending September 20, 2003, 2002, and 2001 amounted to $0, $8,725, and $28,697, respectively.

	Years Ended September 30,		
	2003	2002	2001
Tax benefit at federal statutory rate	(34.0%)	(34.0%)	(34.0%)
State taxes, net of federal tax effect	0.1	0.1	0.1
Increase in valuation allowance on deferred tax assets	33.9	33.9	33.9
Other	0.1	0.1	0.1
Effective tax rate	0.1%	0.1%	0.1%

Deferred income taxes reflect the tax effects of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes. The effects of temporary differences that give rise to deferred tax assets at September 30, 2003, are principally the result of net operating carryforwards. At September 30, 2003, the Company had a net operating loss carry forward for federal, state and local tax purposes of approximately $67,000,000 that will begin to expire no sooner than September 30, 2013.

In assessing the realizability of deferred tax assets, management considers whether it is more likely than not that some portion or all of the deferred tax assets will not be realized. The ultimate realization of deferred tax assets is dependent upon the generation of future taxable income during the periods in which those temporary differences become deductible. Management considers the reversal of deferred tax assets, projected future taxable income and tax planning strategies in making this assessment. Based upon the level of historical taxable income and projections for future taxable income over the period for which the deferred tax assets are deductible, management believes it is more likely than not that the Company will not realize the benefits of these deductible differences, and thus a 100% valuation allowance of theses benefits ($26,000,000) was established. Certain of such net operating loss benefits may be limited as a result of a change of control.